

HEDGEYE DAILY DIGEST

Thursday, August 27, 2026 | GMT+8

Reader timezone GMT+8. "Today" covers Hedgeye's most recent publishing day (Wed 26 Aug EDT), which lands the evening of 26 Aug / early morning of 27 Aug in GMT+8. "Yesterday" covers the 25 Aug EDT publishing day.

Hedgeye has given its **#Quad1** setup a name — **#Dollylocks** — and the internals are backing it up. Keith McCullough's flagship note leads with two fresh all-time highs on Hedgeye's own book: **Healthcare (XLV/FXH)** and **High Yield credit (HYG)**, both of which he frames as flatly incompatible with the 2026 recession narrative. The pivot underneath it all is **oil**: WTI broke both Alpha Code levels (**84 trade / 83 trend**), dragging the long end of the curve with it and delivering the textbook **#Quad1** combination of accelerating real growth and decelerating inflation. Leadership continues to rotate out of semis and mega-cap tech and into the broadening — healthcare, financials, equal-weight, small-cap value and high yield.

TODAY'S PUBLICATIONS

EARLY LOOK — "#Quad1 Dollylocks"

Keith McCullough · 26 Aug 2026, 07:52 EDT (26 Aug, 19:52 GMT+8)

McCullough renames the classic Goldilocks **#Quad1** setup "**#Dollylocks**" in tribute to **Dolly Parton**, who died at **80**. Behind the framing is a straightforward macro claim: the US economy is re-accelerating out of July's monthly **#Quad4** into **#Quad1** in **September** — inflation rate-of-change slowing while real growth rate-of-change accelerates.

The evidence he leads with is cross-asset rather than index-level. Hedgeye's **#1 US Equity Sector Style — Healthcare (XLV and FXH)** — revisited **all-time highs**, and the firm's **#Quad1 credit allocation into High Yield (HYG)** printed an **all-time high** of its own. His argument: credit does not make all-time highs if the profit cycle is broken. He notes that the US labour and economy bears will not mention what just happened in credit markets — "the party is happening two doors down."

Two supporting data points anchor the thesis. **468 of the S&P 500's** companies have now reported a year-over-year EPS acceleration of **+50%**. And **WTI crude** has broken Hedgeye's **Alpha Code (84/83)** levels again — the disinflationary leg of the **#Quad1** trade.

On leadership, he points to the sharpest recent moves being in the heavily shorted corners of exactly the sectors Hedgeye is long: the **GS Most Short Consumer Staples basket +1.8%** on Monday and the **GS Most Short Healthcare basket +5.2%** on Tuesday — while consensus was preoccupied with **NVDA**. Hedgeye remains **short USD**.

Investment implication: stay long the **#Quad1** complex — healthcare, high yield, equal-weight and the shorted / small-cap-value factors — and let the crowded mega-cap tech trade keep de-rating.

Risk Range™ Signals — 26 August 2026

Asset	Risk Range	TREND
10Y US Treasury Yield (UST10Y)	4.60 - 4.73	Bullish
High Yield (HYG)	79.53 - 79.99	Bullish
Inv. Grade Corp Bonds (LQD)	105.5 - 107.1	Bearish
S&P 500 (SPX)	7611 - 7819	Bullish
NASDAQ Composite (COMPQ)	25775 - 26800	Neutral
Russell 2000 (RUT)	2977 - 3080	Bullish
Health Care SPDR (XLV)	169 - 179	Bullish
S&P 500 Equal Weight (RSP)	219.00 - 224.00	Bullish
Expanded Tech-Software (IGV)	99.00 - 106.00	Bullish
Shanghai Composite (SSEC)	3850 - 3998	Bearish
Nikkei 225 (NIKK)	64737 - 69211	Bullish
German DAX	25903 - 26492	Bullish
Volatility Index (VIX)	14.01 - 16.48	Bearish
US Dollar Index (USD)	98.34 - 99.75	Bearish
WTI Crude (WTIC)	79.09 - 87.01	Bearish
Natural Gas (NATGAS)	2.67 - 2.90	Bearish
Gold Spot	4365 - 4750	Bullish
Copper Spot	6.50 - 6.75	Bullish
Silver Spot	64 - 71	Bullish

THE MACRO SHOW — Summary Notes, Wednesday 26 August

26 Aug 2026, 10:38 EDT (26 Aug, 22:38 GMT+8)

Oil was the lead issue. WTI broke both Alpha Code levels — **84 trade** and **83 trend** — and McCullough said that once both went, "the floodgates opened." The new low end of the risk range sits near **\$79.09**, and he would use that level to add to **#Quad1 commodity** exposure. He was explicit that this is **not** a dip-buying call on oil services or energy equities.

Rates are following oil. "Get oil right and you're getting the signals on UST yields right." With crude down roughly **8-9%** in two sessions, the short end read the move as dovish: the **2-year** broke trade support around **4.24% / 4.21%** (now called neutral) and the **10-year** broke its immediate-term trade signal at **4.67%**. He flagged **Jackson Hole** and an **accelerating August CPI** as the next tests.

"H-squared" — High Yield and Health Care — remain the core longs. HYG at a new all-time high is his rebuttal to the recession call. Healthcare is the highest-conviction US sector style, held via **XLV and FXH**; the **GS Most Short Healthcare basket** was **+5.2%** on the day and **+13%** over one month, with **XLV +7.8%** for August.

Index positioning. The **SPX** risk range points to **7,818** as a higher all-time high — higher highs inside the range are what he wants from bullish US equity exposure. The **Nasdaq**, by contrast, is printing a lower high, which is why Hedgeye is not long it. **VIX** around **15.5** with medium-term downside toward **14** keeps this a

buy-the-dip tape; he had gone to **12 longs / 1 short** on the recent drawdown and cut back to **4 longs** after the bounce.

NVIDIA: held **208** (trend), risk range **193-231**, bullish signal — but **no position**, and he called the earnings catalyst a "nothing burger." At a **7.3% S&P 500 weight**, he considers it too large for a single-stock position in his own account.

Single stocks and global: still short **GOOGL** ("worst stock to be long in the S&P" the prior day); not long **META** or **TSLA**. Long **gold** and **silver** (bought silver on sale), long **copper miners (ICOP)** and **New Zealand (ENZL)** — both at all-time highs. **Japan** and **Europe** bullish trade and trend (Spain the best-looking market, but no position yet); **China** bearish. **Canada** is a new buy candidate — **FXC** circled in the top three things to buy, with Canada's next two quarterly quads at **#Quad1 / #Quad1**.

SIGNAL STRENGTH STOCKS — 84 Stocks (2 Added, 3 Removed)

26 Aug 2026, 13:01 EDT (27 Aug, 01:01 GMT+8)

The screen tightened from **85 to 84** names. **Added: ETSY, MNTN. Removed: WRBY, JACK, DG** — note **DG** was only added the prior session, a fast round-trip. The consumer-discretionary additions are consistent with the **#Quad1** rotation into shorted consumer names flagged in the Early Look.

CAPITAL ALLOCATION PRO — Daily Dashboard, Model Portfolios

26 Aug 2026, 08:45 EDT (26 Aug, 20:45 GMT+8)

No new model portfolio changes were published today. The most recent changes took effect at the close on **Wednesday 19 August 2026**. Trend and Tail levels for the **68 ETFs** in the universe were last refreshed using **31 July** closing prices, on the standard 3-4 week cycle. The August **Monthly Commentary** was posted 5 August; the latest **Key Callouts** video is dated 6 August.

ALSO PUBLISHED TODAY

- **ETF Pro Plus — UPDATE: 5 New ETF Pro Changes** (26 Aug, 10:33 EDT). Dashboard-only detail.
- **Bitcoin Trend Tracker — CRYPTO QUANT | BTC (+0.6%)** (26 Aug, 07:33 EDT). Abbreviated this week — the team is on the road, so content is limited to **Risk Range updates** only; on-chain and anecdotal resume next week.
- **Digital Assets — L1 Watch | Weekly Update** (26 Aug, 07:01 EDT). Chart book.

YESTERDAY'S PUBLICATIONS

EARLY LOOK — "Broadening Continues Into #Quad1"

Keith McCullough · 25 Aug 2026, 07:59 EDT

- **What:** The flagship macro note, framed around **Dusty Baker's** memoir *Crossroads* and the discipline of trusting a process rather than removing every obstacle.
- **Why:** A "down day" for the S&P masked genuinely improving internals. The rate-of-change story — July's **#Quad4** giving way to September **#Quad1** — is showing up as a broadening of returns across sectors, asset classes and geographies rather than as index-level strength.
- **Who:** **Financials (XLF)** led gainers, bouncing off the low end of its risk range. **Healthcare (XLV)** held its August league lead. On the other side, **Widely-Held Tech (XLK)** led losers, with **NVDA, MU and AVGO** alone responsible for a collective **-25% negative impact on SPY**.
- **Key numbers:** **8 of 11** S&P sector styles up; **61%** of stocks up an average **+1.2%** on a down day. **XLF +1.3%**. **XLV +7.5%** August-to-date. **XLK -1.8%**. **NVDA** traded **135 million+** shares and closed exactly on Hedgeye's **TREND level of \$208**, risk range **\$192-230**. **SPX** top-of-range at **7,825** — all-time highs still in play. Quad count remains **3-1-2**.
- **Takeaway:** Don't hold the bags of yesterday's winners. Own the tickers the signal says are ready to play — the broadening, not the semis.

MOMO TRACKER — "The 3-1-2 Quad Shift Is Rotating Leadership Away From the Old Winners"

Christian Drake / Ryan Ricci · 25 Aug 2026, 07:28 EDT

- **What:** The momentum-signal dashboard for the Mag7 and major US equities.
- **Why:** The **3-1-2 quad count** is mechanically rotating momentum leadership away from the prior cycle's winners.
- **Key numbers:** The dashboard body is chart / table-based and did not render as extractable text; the headline is the callout.
- **Takeaway:** Momentum leadership is changing hands — treat the old winners as tickers, not relationships.

THE MACRO SHOW — Summary Notes, Tuesday 25 August

25 Aug 2026, 10:14 EDT

- **What:** The three largest signal changes of the week were laid out here first.
- **Why:** **WTI** flipped from bullish to **bearish on both trade and trend** (Alpha Code **84/83**), which should relieve pressure on long-end yields even with food commodities still **+10-20%** over the past month. Separately, the **US 2-Year yield** turned **bullish** trade and trend back above **4.20%**, which McCullough read as the market front-running a **re-acceleration in year-over-year CPI** — and which materially weakens the **Treasury steepener** thesis.
- **Who:** Bullish — **RSP, XLV, IGV, JPM, HYG, ENZL, gold (AAAU), EUR, JPY, SharkNinja (SN)**. Bearish — **USD, WTIC**. Not long **South Korea**; exited **Brazil**; **Philippines** flagged as problematic.
- **Key numbers:** **NVDA** broke immediate-term trade at **218** with trend at **208**; implied vol swung from a **~7% discount** to a **~10% premium** into earnings; risk range **192-230**. High-beta momentum fell another **~3.5%**. **XLV +7.5%** MTD.

- **Takeaway: #Quad1** positioning is widening into **small-cap value, heavily shorted equities and high-yield credit**. On Bitcoin, shorts were covered before the rally and there is **no long position** — he is waiting for a down day rather than chasing.

ALSO PUBLISHED YESTERDAY

- **Signal Strength Stocks: 85 Stocks (5 Added, 0 Removed)** (25 Aug, 14:25 EDT). Added **KDP, CRCL, TGT, DG, EVER**.
- **ETF Pro Plus — UPDATE: 6 New ETF Pro Changes** (25 Aug, 10:45 EDT).
- **Capital Allocation Pro — Daily Dashboard** (25 Aug, 08:39 EDT).
- **Bitcoin Trend Tracker — CRYPTO QUANT | BTC (+0.5%)** (25 Aug, 07:26 EDT).
- **Digital Assets — Weekly Exchange Tracker and Digital Assets Position Monitor** (25 Aug, ~06:55 EDT).